



“Conglomerates’ traditional advantages have diminished. Access to capital is more democratised”

DAN TENNEBAUM
PRESIDENT, INDIA CAPITAL



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SUBHABRATA SENGUPTA
PARTNER, AVALON CONSULTING

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What will happen to conventional manufacturing? “Though there is a lot of focus on manufacturing, as a percentage of gross domestic product, it has actually shrunk in the recent past. However, we expect services sector growth to slow given the disruption caused by AI in not just coding but also testing,” says Sengupta. As the investment in electronics bears fruit with an increase in growth, “we expect some gain in manufacturing (maybe 3-4%) over the next decade,” he adds.

GOING DEEPER

The emergence of smaller business centres is already playing out in a big way. Calling this “Bharat Inc.,” Rohit Berry, President (Strategy, Risk & Transactions), Deloitte South Asia, says it is a “rising force in family-driven businesses” from Tier II and III cities.

The numbers tell the story (*see graphic Beyond Metros*), fundraising by firms from Tier II cities and beyond is on the rise and will get more pronounced over time. “The growth of Bharat Inc. is no accident. It is driven by multiple interlinked factors such as greater access to capital, generational shifts, formation of family offices and robustness of India’s public markets,” he says.

Over time, one has seen how several traditional businesses have reoriented themselves or just cashed out in favour of something more contemporary. This generational transition could well be a watershed moment. “Younger leaders from business families are taking charge and bringing in a fresh perspective on diversification. While the emotional connect with the legacy businesses remains, the next generation is making bolder decisions—divesting non-core operations, launching startups and leveraging technology to drive innovation,” says Berry.

All said, it can easily be India’s moment under the sun for many moons, subject to, of course, a focus on getting the small things right. There is a large population making the opportunity hugely attractive. Plus, discretionary spending is growing, with a very aspirational consumer base making for quite a heady concoction.

Tennebaum speaks of tens of millions of new middle-class families looking for their first car or first home, or even affordable luxuries like cosmetics or life insurance to protect the wealth they have begun to build. “Car consumption in India lags the US by nearly a century, beauty consumption is 1/30th of developed markets and credit card penetration is 1/80th. India is evolving into an economy driven by aspirations,” he sums up. **BT**

@krishnagopalan